dollar. "Going by the way the rupee has been falling, it will certainly go up to 80 to a dollar," says Jamal Mecklai, CEO of Mecklai Financial Services. But he can't predict exactly when, since that result is subject to market forces and the course of the war, inflation and crude oil prices.

A key reason for the weak rupee has been the strengthening of the dollar against all major currencies. On June 15, the US Federal Reserve hiked interest rates by 75 basis points, the biggest increase since 1994, signalling a shift from a low interest rate regime to higher rates in a bid to contain rising inflation. Higher interest rates become an attractive proposition for investors seeking higher returns on bonds. Such global investors sell their investments in local currencies elsewhere in exchange for dollar investments, strengthening the American currency.

Rising inflation is yet another reason. In India, inflation has breached the Reserve Bank of India-set upper limit of 6 per cent for five consecutive months beginning this January. In May, retail inflation was 7.04 per cent. This was after the RBI, in a surprise move prompted by the alarming 7.79 per cent registered in April, raised the repo rate, or the rate at which it lends to commercial banks by 40 basis points (bps) on May 4. In June, the RBI thought it fit to raise the repo rate again, by another 50 bps.

The other reasons are the sharp sell-offs in the equity markets by foreign institutional investors (FIIs) and the high prices of crude, which stood at $111.5 a barrel for Brent on July 4. When the bond yields (return on a bond's interest payments) go up in the US and UK, FIIs find those markets more attractive, which explains the flight of capital back to those markets. FIIs sold shares worth Rs 2.14 lakh crore in Indian markets between April 1, 2021, and June 10, 2022, as per National Securities Depository Limited data. The continuing war in Ukraine will only aggravate such selling. "A prolonged conflict may still trigger further selling—we estimate around $7-8 billion outflows in such a scenario, similar to the levels seen during the global financial crisis," HSBC Global Research said in a research note in May.

The Centre, however, maintains that currencies are weakening all around the world and not just in India. "The RBI is very keenly watching the exchange rate," Union finance minister Nirmala Sitharaman said on July 1. "We are not alone in this world. We are also open as an economy... [if you compare the rupee against the dollar and other currencies versus the dollar] the rupee has performed relatively better."

A weak rupee is good news only for exporters, since they get more rupees for their dollar earning. It is detrimental, though, to the Indian economy as it is likely to widen the current account deficit (CAD), or the difference between the value of the country's imports and exports. A higher CAD can put the rupee under pressure again, and also make overseas borrowing expensive. India's CAD rose to $13.4 billion (around Rs 1 lakh crore) in the fourth quarter of 2021-22, up from $8.1 billion (Rs 63,936 crore) in the same period a year ago due to higher merchandise imports. The CAD is expected to widen to 3 per cent of GDP this fiscal, with imports becoming costlier owing to higher commodity prices, while exports face slowing external demand, ratings firm Crisil said in a recent research note. Acknowledging that the falling rupee will impact our imports, Sitharaman said, "That is one thing I am very watchful and mindful of because a lot of our industries do depend on some essential goods to be imported for their production." Crisil expects the rupee-dollar exchange rate to remain volatile, and the exchange rate to settle at 78 to a dollar by the time the financial year ends.

The RBI has been intervening in the forex markets to shore up the rupee. On its behalf, state-run banks have resorted to a heavy selling of dollars. However, there is a flip side to the RBI move: it depletes the country's forex reserves. The RBI has spent over $41 billion of its reserves since February in defending the nation's currency, says a Barclays report. India's forex reserves fell below the $600 billion mark for the first time in a year in the week ended April 29. Our forex reserves stood at $593.3 billion for the week ended June 24. In another measure, the Centre on July 1 raised import duty on gold to 15 per cent from 10.75 per cent to arrest the rupee's fall. "Till now, the RBI was selling dollars from the reserves. Now, the Centre has stepped in. The pressure is high; we will have to see if it intensifies," says Mecklai. "Be sane, and if you have an exposure in the market, have a structured process to protect yourself." Nothing seems to be going well for the rupee right now, and the general advice from experts is that India needs to get used to a weaker currency. ■

IN FREE FALL

75.4

RUPEE ON FEBRUARY 24, AGAINST THE DOLLAR

79.14

RUPEE AGAINST THE DOLLAR, ITS LOWEST EVER, ON JULY 5

6.2%

RUPEE'S FALL AGAINST THE DOLLAR SINCE JAN. 1, 2022

WHAT'S FUELLING IT?

- ↘ Strengthening dollar as Fed hikes interest rates by 75 basis points
- ↘ High inflation in India at over 7 per cent
- ↘ FIIs selling shares worth Rs 2.14 lakh crore since April 2021
- ↘ High crude prices, at $111 a barrel as on July 4